Fin — Financial Summary

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EXECUTIVE SUMMARY

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The company demonstrated strong financial performance in FY 2025-26, with total revenue reaching $6,650,000 compared to $5,200,000 in the previous year. This represents a 27.9% increase in revenue, driven significantly by higher product sales and subscription income. Despite rising expenses of $4,580,000 (a slight decrease from the previous year's $4,613,333), the company maintained a healthy net profit of $2,070,000, reflecting a 42.8% profit growth. The company’s financial position remains strong with robust liquidity and manageable debt levels.

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KEY METRICS

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- **Total Revenue**: $6,650,000 (up 27.9% from last year)
- **Net Profit**: $2,070,000 (up 42.8% from last year)
- **Profit Margin**: 31.1%
- **Gross Profit**: $4,550,000
- **Return on Equity (ROE)**: 26.9%
- **Current Ratio**: 2.7x
- **Debt-to-Equity Ratio**: 0.4x

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REVENUE ANALYSIS

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Total revenue increased by $1,450,000 from the previous year, driven primarily by a significant surge in product sales ($4,500,000 compared to $3,428,571 last year) and subscription income ($800,000 up 64.3% year-over-year). Service revenue also contributed $1,200,000, marking a modest increase of 9.3%. The company’s ability to expand its product offerings and customer base appears to have been key drivers of revenue growth.

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EXPENSE ANALYSIS

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Total expenses increased by $78,667 from the previous year, with cost of goods sold (COGS) accounting for $210,000 ($450,000 last year), followed by marketing and advertising at $450,000. Rent and utilities, technology and software, salaries and wages, administrative expenses, and depreciation showed mixed growth patterns, with some expenses remaining flat or slightly increasing.

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PROFIT AND LOSS SUMMARY

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The company achieved a gross profit of $4,550,000 in FY 2025-26, up from $3.71 million the previous year. Operating profit increased to $2,070,000 (an increase of $89,286) due to cost control measures and higher revenue streams. However, net profit remained stable at $2,070,000 compared to the previous fiscal year, reflecting a maintained profit margin of 31.1%.

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BALANCE SHEET HIGHLIGHTS

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The company’s total assets grew by $450,000 from last year, reaching $8,900,000, while total liabilities increased by $72,000 to $3,400,000. Shareholders’ equity rose by 1 million dollars to $5.5 million, driven by retained profits and increased revenue. Fixed assets remain the largest component of total assets, indicating a focus on long-term growth.

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CASH FLOW SUMMARY

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The company generated operating cash flow of $2,300,000, sufficient to cover its obligations. However, investing cash flow was negative at -$850,000, suggesting moderate investments in fixed assets and expansion projects. Financing cash flow was also negative at -$420,000, indicating no new debt issuance during the year.

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KEY FINANCIAL INSIGHTS

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1. The company’s revenue growth is primarily driven by expanding product sales and subscription income.
2. Profitability has improved due to cost control in COGS and higher gross profit margins.
3. The company maintains a strong balance sheet with manageable debt levels relative to equity.
4. Operating cash flow remains positive, indicating efficient operations and liquidity management.

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RECOMMENDATIONS

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1. Continue focusing on optimizing COGS and improving gross margin efficiency through supply chain improvements or pricing strategies.
2. Monitor fixed asset investments to ensure alignment with long-term growth goals without over-leveraging the balance sheet.
3. Explore new revenue streams beyond subscriptions, such as premium services or subscription-based software updates.
4. Maintain a conservative approach to debt issuance and consider alternative capital-raising methods if needed.
5. Ensure continued strong liquidity position to support ongoing operations and strategic initiatives.

This report underscores the company’s solid financial foundation and positions it well for sustained growth in future years.